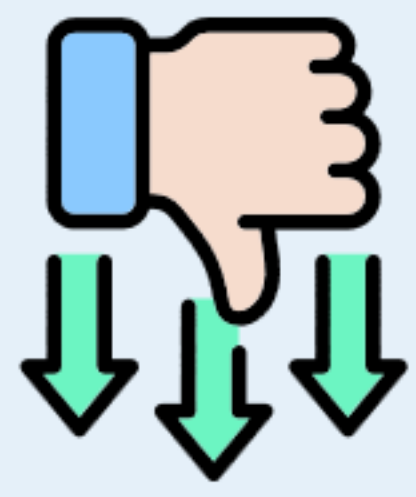




Disadvantages of Using Fixed Price



Scope Creep Risk

One of the primary challenges with fixed price models is the risk of scope creep.

Suppose the scope of work is not clearly defined, or changes occur during the engagement. In that case, the consulting firm may do more work than anticipated without additional compensation, impacting profitability.



Underestimated Risk

Inaccurate effort estimation or unforeseen challenges can lead to the consulting firm expending more resources than anticipated, resulting in reduced profitability or losses.

This risk is exceptionally high for complex or first-of-a-kind projects with limited historical data. Sometimes, consulting firms try to address the cost escalations through change requests



Limited Flexibility

Fixed-price contracts often have rigid terms and conditions, challenging accommodating significant changes or adjustments during the project lifecycle.

If expectations diverge, this lack of flexibility can strain the client-consultant relationship.



Potential for Adversarial Relationships

In some cases, fixed price models may foster an adversarial relationship between the consulting firm and the client, as each party seeks to protect its interests.

The client may resist changes or additional work, while the consulting firm may be reluctant to accommodate requests beyond the scope to avoid financial losses.